KEY TERMS

- **Verification:** Verification is the act of assuming the correctness of value of assets and liabilities, title and their existence on the date of Balance Sheet in the organization.
- **Valuation:** Valuation is the act of determining the value of assets and critical examination of these values based on normally accepted accounting standard.
- **Fixed assets:** A fixed asset is a long-term tangible property that a firm owns and uses in its operations to generate income. Fixed assets are not easily converted into cash within a year.
- **Freehold property:** A freehold is the common ownership of real property, or land and all immovable structures attached to such land.
- **Leasehold property:** It is method of owning property for fixed term possession of the property will be subject to the payment of an annual ground rent. When the lease expires, ownership of the property reverts to the freeholder.
- **Investments:** It is the process of investing money for profit.

EVALUATION

BXPJZL

I. Multiple Choice questions:

1. Verification means _____.
   a. Proof of existence
   b. Exact value of assets
   c. Estimates
   d. Accuracy
2. Valuation means _____.
   a. Accretion of wealth
   b. Correctness of value
   c. Critical examination of the value
   d. All of these
3. Plant and machinery fall under the category of:
   a. Current Assets
   b. Liquid Assets
   c. Intangible Assets
   d. Fixed Assets
4. Which one of the following is not an example of fixed assets?
   a. Land & Buildings
   b. Inventory
   c. Plant & Machinery
   d. Furniture & Fixtures
5. Furniture and Fixtures are shown in Company's Balance Sheet under the head:
   a. Current Assets
   b. Fixed Assets
   c. Intangible Assets
   d. Fictitious Assets

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